OCAD - ONE COMPANY A DAY

SERIES: TECHNOLOGY

Cisco Systems, Inc.

CSCO | NASDAQ

USD 113.64 per share

Closing price, Wednesday 14 October 2026, latest completed trading day



CSCO daily closing price, 28 May 2026 to 14 October 2026, USD per share. Source: StockAnalysis.com price history.

REPORT DATE	ANALYST	SERIES	EXCHANGE
15 October 2026	Arthur Faugeron	Technology	NASDAQ

Executive Summary

Cisco is a networking and security hardware and software group that has just posted its strongest growth year since fiscal 2023, led by AI data-center switching. The shares have risen about 68% in twelve months and now trade at 34 times trailing GAAP earnings, a multiple that prices in a durable acceleration rather than the low single-digit growth Cisco delivered over the prior four years.

Business

Cisco sells switches, routers, wireless, optics and silicon (Networking, USD 34.7bn or 55% of fiscal 2026 revenue), security software and appliances (USD 8.2bn), collaboration (USD 4.3bn) and observability (USD 1.1bn), plus USD 15.0bn of support services. Customers are enterprises, governments, service providers and, increasingly, hyperscalers, reached mostly through a two-tier channel; 60% of revenue comes from the Americas.

Financial Condition

Fiscal 2026 (year to 25 July 2026) revenue was USD 63.3bn, up 11.8%; GAAP operating income USD 15.4bn (24.3% margin); net income USD 13.3bn; diluted GAAP EPS USD 3.33. Operating cash flow was USD 14.2bn and free cash flow USD 12.8bn (20.2% of revenue). Net debt including leases is USD 15.3bn, or 0.8 times EBITDA.

Market Position

Main rivals are Arista, Palo Alto Networks, Fortinet, HPE (with Juniper), Huawei, Broadcom and Nvidia. Cisco’s advantage is installed base and channel reach, with USD 46.7bn of remaining performance obligations; its weakness is that Security grew only 2% in fiscal 2026 while pure-play rivals trade at much higher growth multiples.

Valuation

At USD 113.64 the market capitalisation is USD 448.0bn and enterprise value USD 463.3bn. Trailing P/E is 34.1 times, forward P/E 22.1 times, EV/EBITDA 24.9 times, P/FCF 35.1 times and free cash flow yield 2.9%. The dividend yield is 1.5%.

Investment Framework

WHAT IS ATTRACTIVE	Order growth of 35% in the fourth quarter (25% excluding hyperscalers), fiscal 2027 revenue guidance of USD 72.2bn to 73.4bn, and a free cash flow base that funds USD 14.5bn of annual dividends and buybacks.
WHAT IS CONCERNING	Valuation roughly doubled in two years while free cash flow was flat; inventory rose 80% to USD 5.7bn, memory costs are pressuring product margin, and goodwill plus intangibles equal 133% of equity.
WHAT MUST GO RIGHT	AI infrastructure revenue must rise from about USD 4bn to USD 7.5bn in fiscal 2027 without diluting gross margin, and Security and Collaboration must move from low growth to mid single digits or better.
WHAT COULD BREAK THE THESIS	A pause in hyperscaler capital spending, gross margin falling below 62%, or price competition from Arista, Nvidia networking and Asian vendors.
PRICED IN	A reverse discounted cash flow requires roughly 10% annual revenue growth through fiscal 2031, a 30% operating margin, a WACC near 8% and terminal growth of 3.5%.

Investment Profile

ASSESSMENT BY DIMENSION

Dimension	Assessment
Business quality	High. Recurring services and software, 64.5% gross margin, USD 29.8bn of deferred revenue.
Financial quality	Good. Cash conversion of 96% of net income in fiscal 2026, but earnings include USD 1.4bn of investment gains.
Competitive position	Solid but contested. Leader in enterprise networking, follower in security growth.
Growth profile	Improving from a low base: 5.3% revenue CAGR over four years, guidance implies about 15% in fiscal 2027.
Balance-sheet risk	Moderate. Debt of USD 29.5bn after the Splunk financing, interest cover 10.9 times, current ratio 0.93.
Valuation	Demanding. The multiple has risen from 15.9 to 35.6 times earnings since fiscal 2022.
Market and technical profile	Neutral. Price is above the 200-day average, 12.6% below the June high, with 36% annualised volatility in the recent window.

Source: analyst assessment based on the figures in this report.

A. About the Business

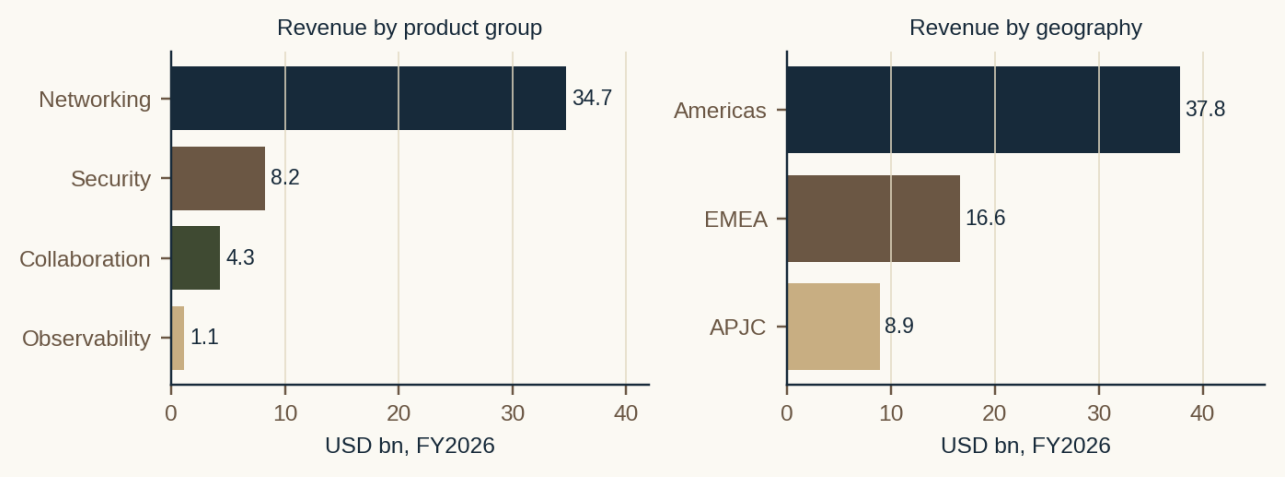
A1. Business Environment

Cisco operates in enterprise and service-provider networking, a market where customers buy connectivity, security and visibility for corporate sites, campuses, clouds and data centers. The value chain starts with silicon and optical components (Broadcom, Nvidia, Cisco's own Silicon One, memory suppliers), moves through contract manufacturers and system vendors, and reaches end customers through distributors, resellers, integrators and, for large accounts, directly. Economic value is captured mainly by vendors that control the operating software and the silicon, which is why gross margins in the sector range from 37% at HPE to 80% at Fortinet.

Industry economics are those of a mature installed base with cyclical upgrade waves. Campus and branch refresh cycles run five to seven years, while data-center demand is driven by the capital expenditure of a few hyperscalers and is far more volatile. Cisco itself reports that orders from service providers and hyperscalers are concentrated and hard to predict. Regulation matters

mostly through export controls, security certification, and public-sector procurement rules. Technology dependence is high: the move to 800G optics, AI back-end networks and software-defined security is reshaping spend.

Fiscal 2026 revenue by product group and by geography



Source: Cisco fourth-quarter and fiscal 2026 earnings release, 12 August 2026. Units: USD bn. Period: fiscal year ended 25 July 2026.

INDUSTRY STAGE: MATURE AND CONSOLIDATING, WITH A CYCLICAL AI UPSWING

> The core campus and security markets are mature and consolidating (Cisco bought Splunk, HPE bought Juniper). The data-center segment is in a cyclical growth phase caused by AI training and inference build-outs. The reasons for the classification are Cisco's flat services revenue and 2% Security growth against 28% growth in Networking in the fourth quarter.

A2. What Does the Company Do?

A new employee should think of Cisco as four businesses sold through one channel. Networking (55% of revenue) sells the boxes and software that move data: campus and data-center switches, routers, wireless, optics and the Silicon One chips inside them. Security (13%) sells firewalls, secure access, identity and the Splunk analytics platform. Collaboration (7%) sells Webex and devices. Observability (2%) sells monitoring through AppDynamics and ThousandEyes. Services (24% of revenue, USD 15.0bn) are support contracts and software maintenance that renew annually and have been flat for fiscal 2026.

Pricing is a mix of one-time hardware sales, multi-year subscriptions and support contracts. Remaining performance obligations of USD 46.7bn (up 7%) show how much revenue is already contracted. The largest costs are cost of revenue (USD 22.5bn, 35.5% of revenue), sales and marketing (USD 11.6bn, 18.3%) and research and development (USD 9.6bn, 15.1%). Capital needs are light: capital expenditure was USD 1.4bn or 2.2% of revenue, with contract manufacturers building the products.

How one dollar of revenue is used

Of each dollar of fiscal 2026 revenue, about 35 cents pays for goods and services sold, 18 cents goes to sales and marketing, 15 cents to research, and roughly 7 cents to general expenses, acquisition amortisation and restructuring, leaving about 24 cents of GAAP operating profit before interest and tax.

1. CUSTOMER
Enterprises, governments, service providers, hyperscalers; mostly via distributors and partners

2. PRODUCT AND SERVICE
Networking, Security, Collaboration, Observability, support services

3. REVENUE
USD 63.3bn: product 48.3bn, services 15.0bn

4. COSTS
Cost of revenue 35.5 cents, sales and marketing 18.3, research 15.1

5. OPERATING PROFIT
24.3 cents GAAP, 34.8 cents non-GAAP

6. CASH FLOW
Operating cash flow USD 14.2bn, free cash flow USD 12.8bn

7. CAPITAL ALLOCATION
Dividends USD 6.6bn, buybacks USD 8.0bn, debt paydown, small acquisitions

The most economically important parts are Networking product margin (which determines gross margin) and renewal of the services and software base (which stabilises cash flow).

A3. Business and Relationship Network

ECOSYSTEM MAP

Node	Relationship	Why it matters economically
Contract manufacturers	Build boards and finished systems; no significant long-term contracts.	Variable cost base, but supply tightness raised memory costs in fiscal 2026.
Silicon and components	Own Silicon One chips; purchase commitments for memory and other parts.	Control of silicon protects margin; commitments raise inventory risk.
Distributors and resellers	Two-tier channel carries a substantial portion of sales.	Reach and credit support, but channel stocking can distort reported orders.
Hyperscalers	AI back-end and front-end networking, 800G optics, Cisco 8000 routers.	USD 9.3bn of fiscal 2026 orders but concentrated and volatile.
Service providers	Routing, optics and access equipment.	Lumpy, price-sensitive demand.
Splunk, ThousandEyes, AppDynamics	Acquired software for security and observability.	Moves mix toward subscription; fiscal 2024 cash acquisitions of USD 26.0bn were principally Splunk.
Nvidia and Broadcom	Both partner and compete in AI networking and silicon.	Defines the ceiling for Cisco's share of AI spend.
Competitors	Arista, Palo Alto, Fortinet, HPE, Huawei, Nokia, Ciena and others.	Set the pricing for each product group.

Source: Cisco Form 10-K for the fiscal year ended 25 July 2026; Cisco earnings release, 12 August 2026; cash acquisitions from Cisco cash flow statement (StockAnalysis.com).

A4. Competition

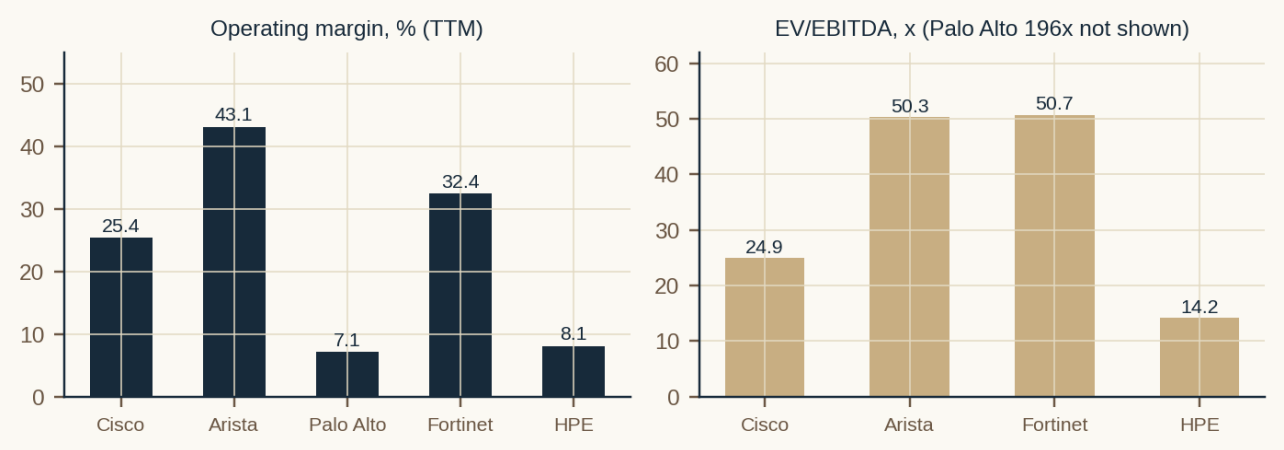
Direct competitors in networking are Arista (data-center switching, high margin, hyperscaler heavy), HPE with Juniper (campus, branch, and service-provider routing) and Huawei outside the United States. In security the rivals are Palo Alto Networks and Fortinet (firewalls and platform consolidation), with Zscaler and CrowdStrike in cloud security. Nvidia, Broadcom and the cloud providers' own switches are emerging and substitute competitors in AI networks; Microsoft and Zoom compete in collaboration; Datadog and Dynatrace in observability. Peers were chosen because they compete for the same network and security budgets, not because they share a classification.

COMPETITIVE COMPARISON, USD, TRAILING TWELVE MONTHS, MARKET DATA 14 TO 15 OCTOBER 2026

Company	Revenue	Op. margin	Net margin	EV/EBITDA	Net debt
Cisco	63.3bn	25.4%	21.0%	24.9x	15.3bn
Arista Networks	10.5bn	43.1%	38.4%	50.3x	(13.3bn)
Palo Alto Networks	11.5bn	7.1%	2.7%	196.3x	(0.5bn)
Fortinet	7.5bn	32.4%	28.2%	50.7x	(3.5bn)
HPE	41.9bn	8.1%	6.7%	14.2x	14.1bn

Source: StockAnalysis.com statistics pages for each company; Cisco on a fiscal 2026 basis. Operating margin for Cisco is before impairments and restructuring (GAAP 24.3%). Brackets denote net cash.

Operating margin and EV/EBITDA of Cisco and selected peers



Source: StockAnalysis.com, 14 to 15 October 2026. Units: percent and multiple (x). Period: trailing twelve months.

Relative to peers, Cisco is the largest by revenue, is valued below Arista and Fortinet, and has the lowest growth of the three. Arista's 43% operating margin and 38% net margin explain its premium; HPE is cheaper but earns a third of Cisco's margin.

A5. Competitive Differences

Cisco's advantages are structural in three areas: a global installed base of enterprise networks that creates switching costs; a channel and services organisation of about 25,400 sales and marketing staff that smaller rivals cannot replicate; and ownership of Silicon One, which lowers unit cost in high-end routers and AI switches. The Splunk acquisition added a data and analytics layer that links security and observability. Temporary advantages include the current order backlog and the hyperscaler design wins, which can be re-competed.

Disadvantages are visible in the numbers. Security grew 2% against Palo Alto's forecast 17% revenue growth; services revenue was flat; and Cisco's 64.5% gross margin is only 1.5 points above Arista's 63.0% while Cisco's product mix now leans toward lower-margin AI switching, leaving little cushion if that business is priced aggressively. Goodwill and intangibles of USD 67.0bn exceed total equity of USD 50.3bn, so tangible equity is negative USD 16.7bn.

MOAT ASSESSMENT: MODERATE

> The installed base, channel and services contracts are real barriers, supported by gross margin that stayed between 62% and 65% in each of the last five years. However, the return on invested capital fell from 43.8% (fiscal 2023) to 21.3% (fiscal 2026) after Splunk, and the fastest-growing segment, AI networking, is the one where competitors are strongest.

A6. Industry Trend

Historic growth was modest: Cisco's revenue grew at a 5.3% compound rate between fiscal 2022 and fiscal 2026, with a 5.6% decline in fiscal 2024 as customers digested inventory after the supply shortages. Current growth is faster: fourth-quarter revenue rose 18% and product orders 35%. Expected growth is shown in management guidance of USD 72.2bn to 73.4bn for fiscal 2027, or 14% to 16%. Structural trends are AI cluster build-outs, the shift to software subscriptions, security platform consolidation and campus refresh; temporary conditions are the inventory build, memory shortages, and the one-off size of hyperscaler orders. The trend would reverse if hyperscaler capital expenditure paused, if customers shifted to proprietary or Nvidia networking, or if enterprise budgets tightened. The industry is best described as mature in its core and cyclical in its growth segment.

A7. Management

EXECUTIVE TEAM

Name	Position	Background
Charles Robbins (60)	Chair and Chief Executive Officer	CEO since July 2015; joined Cisco in 1997 in sales; previously Senior Vice President, Worldwide Field Operations.
Mark Patterson (56)	Chief Financial Officer	CFO since July 2025; earlier Chief Strategy Officer and Chief of Staff to the CEO.
Jeetendra Patel (55)	President and Chief Product Officer	Since May 2025; previously Chief Product Officer and Chief Strategy Officer at Box.
Oliver Tuszik (58)	Chief Sales Officer	Since April 2025; previously Senior Vice President EMEA Sales; over ten years at Computacenter.
Thimaya Subaiya (48)	Executive Vice President, Operations	Since March 2024; earlier Chief Transformation Officer; eight years at Salesforce.
Deborah Stahlkopf (56)	Chief Legal Officer	Joined August 2021; previously 14 years at Microsoft, most recently General Counsel.

Source: Cisco Form 10-K for the fiscal year ended 25 July 2026 (ages as of 31 August 2026).

Capital allocation under Robbins has been consistent: USD 14.5bn was returned in fiscal 2026 (dividends USD 6.6bn and repurchases USD 8.0bn), equal to 114% of free cash flow, while the dividend per share rose from USD 1.50 in fiscal 2022 to USD 1.66. The cost of that policy is visible in leverage: debt rose from USD 10.6bn to USD 31.2bn including leases, mainly to fund USD 26.0bn of cash acquisitions in fiscal 2024 (Splunk). Share count fell 4.0% in four years, but stock-based compensation of USD 3.8bn (6.0% of revenue) absorbs about half of the repurchase spend. Insiders own 0.03% of the shares, so alignment relies on equity awards rather than meaningful ownership. Management's guidance has been tested by the market: the shares fell 8.4% on the day after fiscal 2026 results despite record revenue, which indicates that investors are focused on gross margin and the memory cost headwind.

B. Evaluation

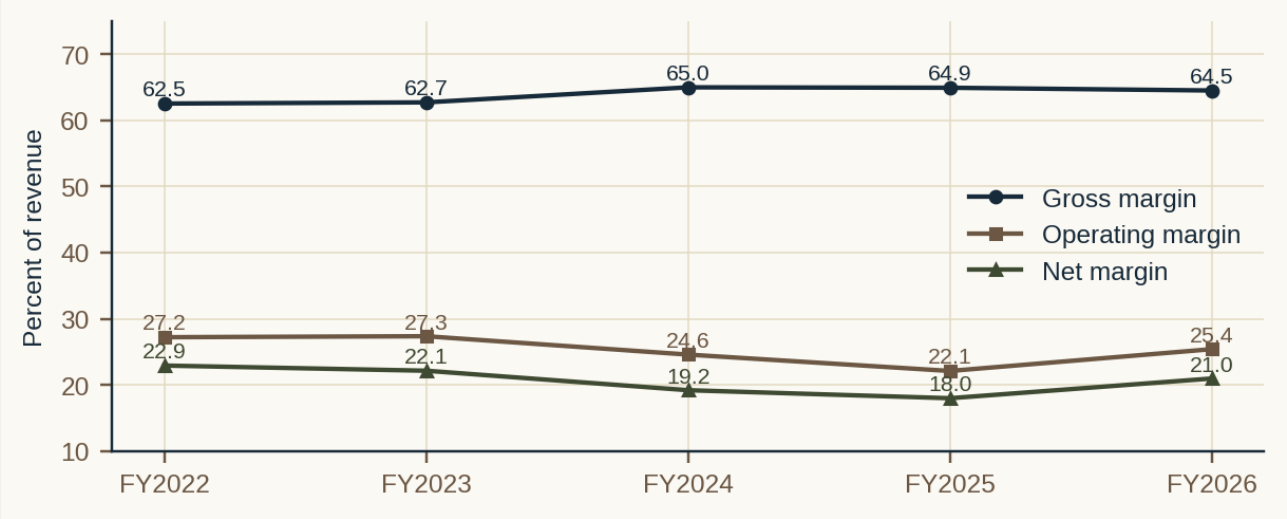
B1. Financial and Operating Metrics

PROFITABILITY AND RETURNS, FISCAL YEARS ENDING LATE JULY

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
Gross margin	62.5%	62.7%	65.0%	64.9%	64.5%
Operating margin (before restructuring)	27.2%	27.3%	24.6%	22.1%	25.4%
EBITDA margin	30.8%	30.2%	28.7%	27.2%	29.4%
Net margin	22.9%	22.1%	19.2%	18.0%	21.0%
Return on equity	29.2%	30.0%	23.0%	22.1%	27.3%
Return on assets	9.2%	10.0%	7.3%	6.3%	8.0%
Return on invested capital	37.8%	43.8%	25.8%	19.3%	21.3%

Source: StockAnalysis.com financial statements and ratios; margins and EBITDA calculated by the analyst (EBITDA is operating income plus depreciation and amortisation). The provider's operating income excludes restructuring and impairment charges.

Gross, operating and net margin



Source: StockAnalysis.com, calculated by the analyst. Units: percent of revenue. Period: fiscal 2022 to fiscal 2026.

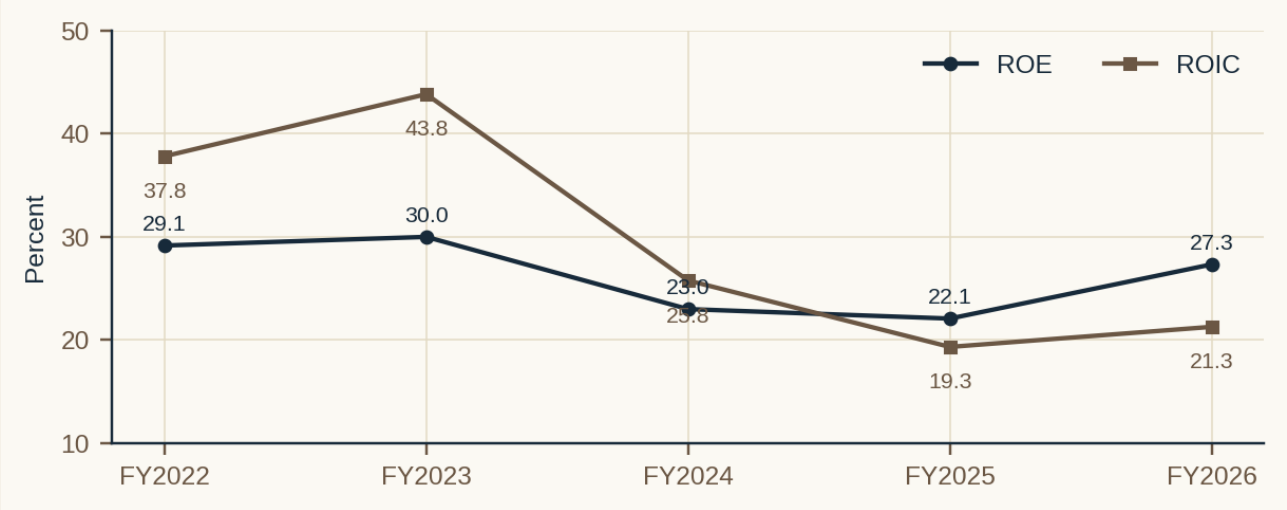
GROWTH, LEVERAGE, EFFICIENCY AND CASH FLOW

Metric	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue growth	3.5%	10.6%	(5.6%)	5.3%	11.8%
EPS growth	12.8%	8.9%	(17.3%)	0.4%	30.6%
Net debt / EBITDA	(0.6x)	(1.0x)	0.9x	0.8x	0.8x
Debt / EBITDA	0.6x	0.5x	2.0x	1.8x	1.6x
Current ratio	1.43	1.39	0.91	1.00	0.93
Asset turnover	0.54	0.58	0.48	0.46	0.50
Inventory turnover	9.4x	6.8x	5.4x	6.1x	5.1x
Free cash flow margin	24.7%	33.4%	19.0%	23.5%	20.2%
Free cash flow / net income	108%	151%	99%	131%	96%
Capex / revenue	0.9%	1.5%	1.2%	1.6%	2.2%

Source: StockAnalysis.com ratios, balance sheet and cash flow pages; ratios involving free cash flow calculated by the analyst. Brackets denote negative values.

Four-year compound annual growth rates between fiscal 2022 and fiscal 2026 are: revenue 5.3%, EBITDA 4.1%, operating income 3.5%, net income 2.9%, EPS 4.2% and free cash flow 0.0% (USD 12.7bn to USD 12.8bn). Earnings have grown faster than cash flow only because fiscal 2022 and fiscal 2026 are both roughly normal years, whereas fiscal 2023 was inflated by a USD 19.0bn free cash flow from supply-chain unwinding. The inventory turnover decline from 9.4 to 5.1 times is the most notable efficiency signal: inventory rose from USD 2.6bn to USD 5.7bn, in part because Cisco pre-bought memory and silicon.

Return on equity and return on invested capital



Source: StockAnalysis.com ratios page. Units: percent. Period: fiscal 2022 to fiscal 2026.

B2. Risks

RISK REGISTER RANKED BY PROBABILITY TIMES IMPACT

Rank	Risk	Probability	Impact	Description
1	Valuation compression	High	High	34 times earnings with 4 percent historical growth; a return to 20 times implies a share price near USD 67 on fiscal 2026 EPS.
2	AI orders reverse	Medium	High	Hyperscaler orders were USD 9.3bn in fiscal 2026 and are concentrated and volatile.
3	Gross margin erosion	Medium	High	Memory costs and AI switch pricing are already named in the 10-K as margin headwinds.
4	Competitive share loss	Medium	Medium	Arista, Nvidia, HPE with Juniper and Asian vendors compete on price and performance.
5	Leverage and refinancing	Low	Medium	Debt of USD 29.5bn, with USD 10.2bn due within one year; cash of USD 15.9bn.
6	Inventory write-down	Medium	Medium	Inventory up 80 percent to USD 5.7bn plus purchase commitments.
7	Security and software lag	Medium	Medium	Security grew 2 percent while peers grow mid-teens.
8	Regulation and geopolitics	Medium	Low	Export controls, tariffs, China competition and AI regulation.

Source: analyst assessment; risk factors from Cisco Form 10-K, fiscal year ended 25 July 2026.

Business risks are concentrated in hyperscaler and service-provider orders; financial risks are leverage, currency and working capital; technological risk is AI-driven redesign of networks and agentic AI security. The three risks most capable of permanently impairing value are valuation compression combined with a growth disappointment, structural loss of AI networking share to Arista and Nvidia, and sustained gross margin decline from component costs.

B3. Valuation

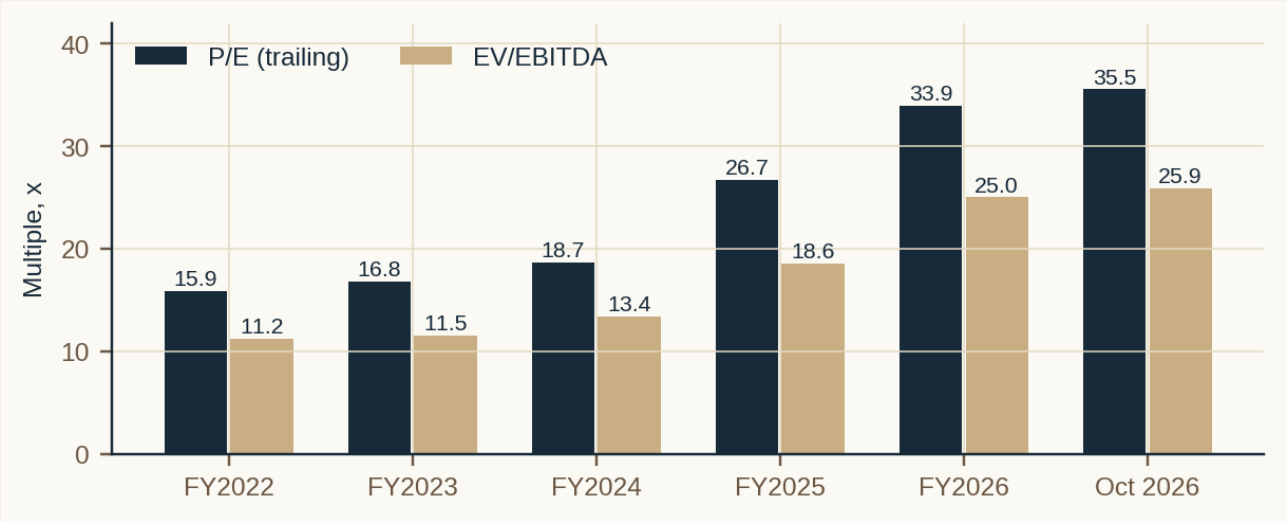
At USD 113.64 and 3.943bn shares, Cisco has a market capitalisation of USD 448.0bn. Enterprise value of USD 463.3bn adds debt and leases of USD 31.2bn and subtracts cash and investments of USD 15.9bn.

VALUATION MULTIPLES AT 14 OCTOBER 2026

Multiple	Value	Basis
P/E, trailing GAAP	34.1x	Price / fiscal 2026 EPS of USD 3.33
P/E, forward	22.1x	Provider consensus; 22.4x on guided non-GAAP EPS midpoint of USD 5.08
EV/EBITDA	24.9x	EV of USD 463.3bn / EBITDA of USD 18.6bn
EV/EBIT	28.8x	Operating income before restructuring
Price / sales	7.1x	Market cap / revenue of USD 63.3bn
P/FCF	35.1x	Free cash flow of USD 12.8bn; yield 2.9%
Dividend yield	1.5%	USD 1.68 annualised; payout ratio 50%
PEG	2.2x	Provider estimate

Source: StockAnalysis.com statistics and ratios; calculations by the analyst.

Cisco trailing P/E and EV/EBITDA history



Source: StockAnalysis.com ratios page, fiscal year ends and 9 October 2026. Units: multiple (x). Period: fiscal 2022 to October 2026.

The multiple history is the central valuation fact: P/E rose from 15.9 to 35.6 times and EV/EBITDA from 11.2 to 25.9 times, while free cash flow was unchanged. Essentially all share price appreciation since fiscal 2022 has come from re-rating, not cash flow growth. Against peers, Cisco is cheaper than Arista, Fortinet and Palo Alto but those firms grow faster; HPE trades at 14.2 times EV/EBITDA with lower margins.

The market is therefore pricing in a step change: roughly 10% revenue growth for five years, operating margin of about 30% and a low discount rate (see section C5). Against a history of 5% growth these expectations appear optimistic. A low P/E is not cheap and a high P/E is not expensive in isolation, but here the multiple expansion is not yet matched by cash flow.

B4. Capital Market and Stock Analysis

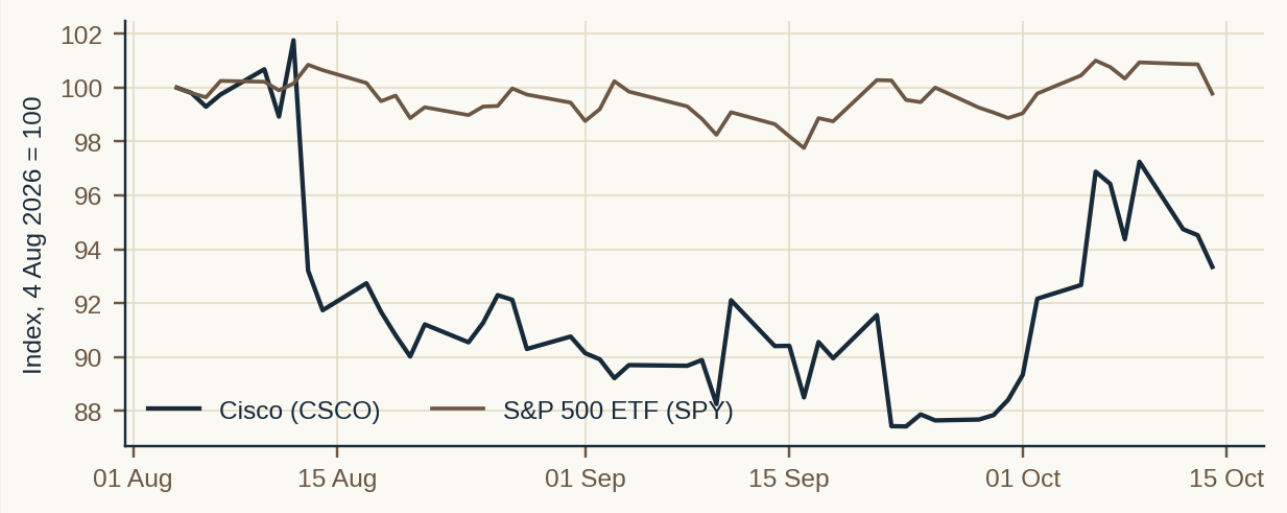
Price history available for this report covers 28 May to 14 October 2026 (97 trading days). The shares closed at USD 113.64 on 14 October, down 1.2% on the day, down 3.2% over one week (five sessions), up 3.2% over one month, and up 3.6% over three months. Since the 4 June high close of USD 130.00 the shares are down 12.6%. The provider reports a 52-week range of USD 66.81 to USD 130.37 and a 52-week price change of plus 68.5%. Year-to-date, three-year and five-year returns were not retrieved. After the fiscal 2026 results on 12 August the shares fell 8.4% in one session (USD 123.88 to USD 113.47) on volume of 61.6 million, almost four times a typical day.

VOLATILITY AND RISK

Measure	Value	Basis
Annualised volatility	35.9%	Daily closes, 28 May to 14 October 2026; includes the 12 August results gap
Downside volatility	26.4%	Same window, negative returns only
Maximum drawdown	(18.1%)	Peak 4 June (USD 130.00) to trough 23 September (USD 106.43)
Beta, five years	0.98	Provider estimate
Beta, recent window	1.18	Daily returns versus SPY, 4 August to 14 October 2026
Correlation with S	P 500 ETF	0.32
Same recent window		

Source: StockAnalysis.com price history and statistics; calculations by the analyst. Brackets denote negative values.

Cisco versus SP 500 ETF (SPY), rebased

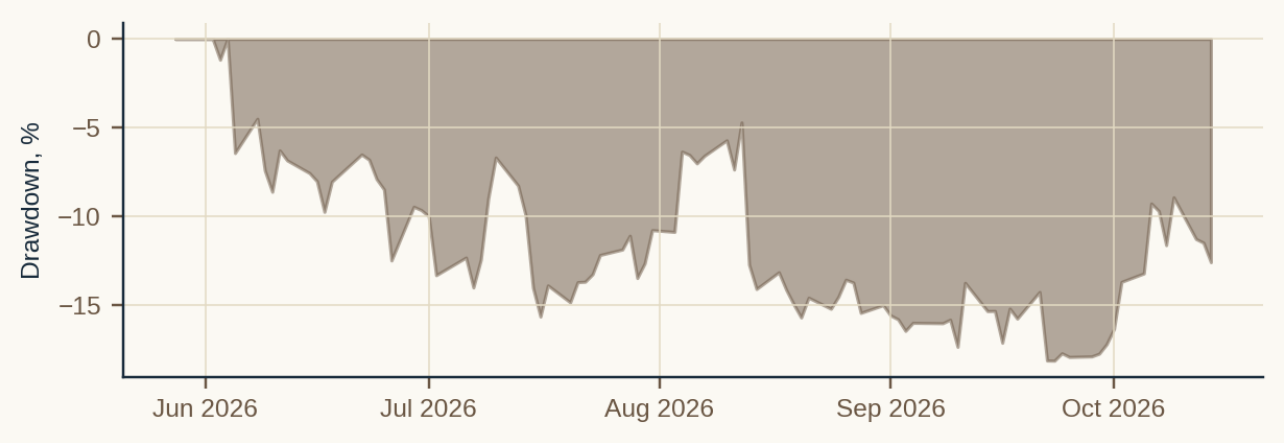


Source: StockAnalysis.com price history. Units: index, 4 August 2026 = 100. Period: 4 August to 14 October 2026.

Cisco returned minus 6.7% from 4 August to 14 October against minus 0.2% for SPY, so it underperformed the benchmark by 6.5 percentage points over the window, entirely because of the post-results decline. Relative performance versus the technology sector was not retrieved.

Technically, the price of USD 113.64 is above the 50-day average (USD 112.13) and the 200-day average (USD 99.24), the 14-day RSI is 53.1 (neutral), and the MACD line (1.40) is above its signal line (0.78), a mild positive momentum reading. Support lies near the September low of USD 106.4 and resistance near the post-results gap at USD 123.9. The price has been in a range between USD 106 and USD 124 since results, which shows the market digesting a re-rating rather than trending. These indicators describe sentiment, not value: they say nothing about the DCF gap in section C5.

Cisco drawdown from running peak



Source: StockAnalysis.com price history, calculated by the analyst. Units: percent. Period: 28 May to 14 October 2026.

C. Financial Statements

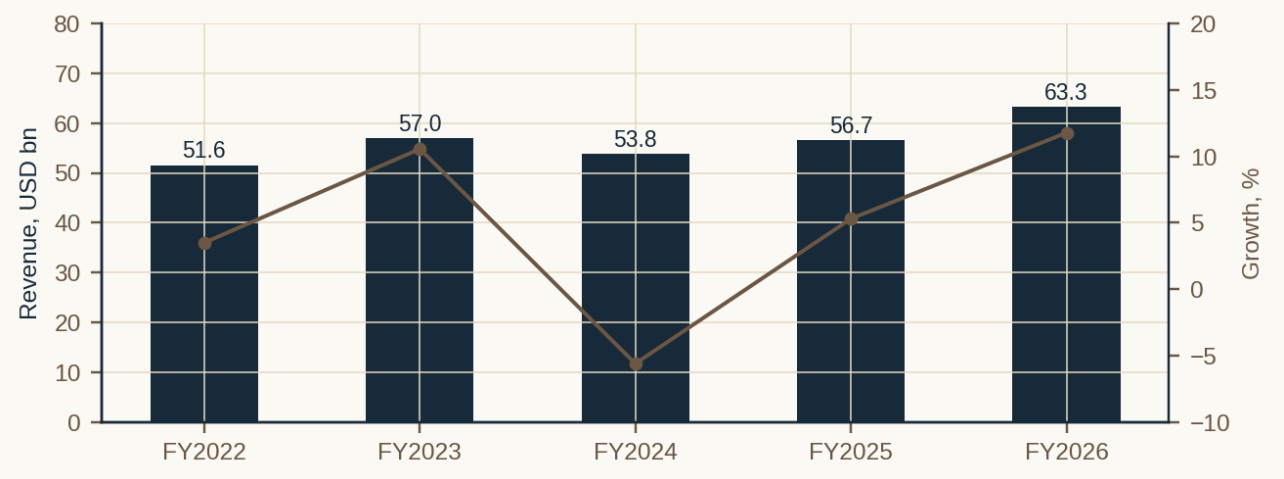
C1. Income Statement

INCOME STATEMENT SUMMARY, USD MILLION, FISCAL YEARS ENDING LATE JULY

Item	FY2022	FY2023	FY2024	FY2025	FY2026
Revenue	51,557	56,998	53,803	56,654	63,325
Gross profit	32,248	35,753	34,973	36,790	40,860
Operating income (provider)	14,024	15,588	13,219	12,516	16,079
EBITDA (calculated)	15,901	17,219	15,427	15,418	18,642
Net income	11,812	12,613	10,320	10,180	13,267
EPS (USD)	2.82	3.07	2.54	2.55	3.33
Dividend per share (USD)	1.50	1.54	1.58	1.62	1.66
Research and development	N/A	N/A	N/A	9,300	9,563
Sales and marketing	N/A	N/A	N/A	10,966	11,559

Source: StockAnalysis.com (revenue to EPS); Cisco earnings release, 12 August 2026 (research and development, sales and marketing). N/A means not retrieved. Cisco reports under US GAAP.

Revenue and revenue growth



Source: StockAnalysis.com. Units: USD bn and percent. Period: fiscal 2022 to fiscal 2026.

Revenue growth in fiscal 2026 of 11.8% came mainly from volume in Networking (up 22% to USD 34.7bn), while Security grew 2%, Collaboration 4%, Observability 4% and services were flat. Geographically growth was balanced: Americas up 12%, EMEA 12% and Asia Pacific, Japan and China 9%. The split between price and volume is not disclosed in the retrieved filings.

Operating leverage was positive in fiscal 2026: revenue rose 11.8%, provider operating income rose 28.5%, and the margin recovered from 22.1% to 25.4%. GAAP operating margin was 24.3% against a non-GAAP 34.8%; the 10.5-point gap largely consists of share-based compensation (USD 3.8bn), acquisition amortisation (USD 1.8bn) and restructuring (USD 0.7bn). Share-based compensation is a real cost and the non-GAAP view should not be treated as superior. Fiscal 2026 GAAP EPS of USD 3.33 also includes USD 1.4bn of investment gains and a 17.1% tax rate, against 8.3% in fiscal 2025; non-GAAP EPS of USD 4.33 grew 14% against GAAP EPS growth of 31%, which means the GAAP jump partly reflects an unusually low prior-year base. Interest expense was USD 1.47bn (USD 1.59bn in fiscal 2025), covered 10.9 times by operating income.

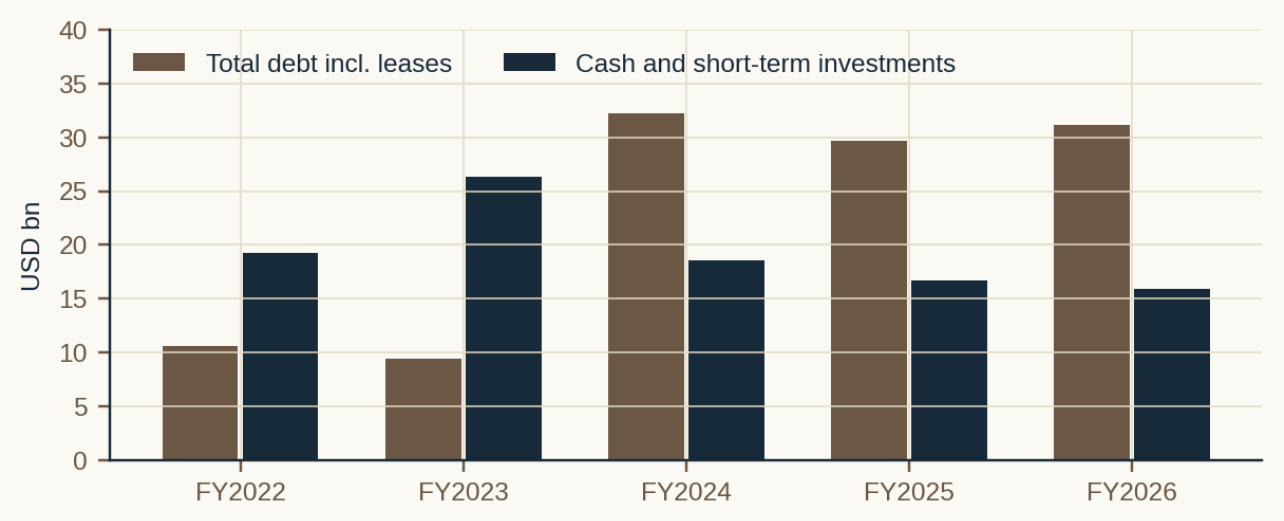
C2. Balance Sheet

BALANCE SHEET SUMMARY, USD MILLION, FISCAL YEAR END

Item	FY2022	FY2023	FY2024	FY2025	FY2026
Cash and equivalents	7,079	10,123	7,508	8,346	7,218
Short-term investments	12,188	16,211	11,096	8,327	8,700
Receivables	10,527	9,206	11,423	11,462	12,762
Inventory	2,568	3,644	3,373	3,164	5,694
Goodwill	38,304	38,535	58,660	59,136	59,477
Other intangibles	2,569	1,818	11,219	9,175	7,557
Total assets	94,002	101,852	124,413	122,291	129,637
Total debt incl. leases	10,571	9,452	32,243	29,643	31,185
Deferred revenue (current and long-term)	23,264	25,550	28,475	28,779	29,781
Total liabilities	54,229	57,499	78,956	75,448	79,352
Shareholders' equity	39,773	44,353	45,457	46,843	50,285
Net cash (debt)	8,696	16,882	(13,639)	(12,970)	(15,267)
Shares outstanding (million)	4,110	4,066	4,007	3,960	3,946

Source: StockAnalysis.com balance sheet page (S&P Global Market Intelligence data). Brackets denote net debt.

Total debt and cash with short-term investments



Source: StockAnalysis.com balance sheet. Units: USD bn. Period: fiscal 2022 to fiscal 2026.

The balance sheet changed character in fiscal 2024 when debt tripled to fund Splunk. Since then net debt has stayed between USD 13bn and USD 15bn. Current liabilities exceed current assets (working capital of negative USD 2.9bn, current ratio 0.93), which is normal for a business with USD 17.0bn of current deferred revenue but leaves reliance on commercial paper and short-term debt (USD 6.7bn) plus USD 3.5bn of current long-term debt maturities. The equity ratio is 38.8%. Red flags are goodwill and intangibles of USD 67.0bn (51.7% of assets, 133% of equity) and a build in receivables (days sales outstanding about 74) and inventory (about 93 days of cost of revenue). Pension obligations and off-balance-sheet commitments were not retrieved; the 10-K notes additional purchase commitments for silicon and memory.

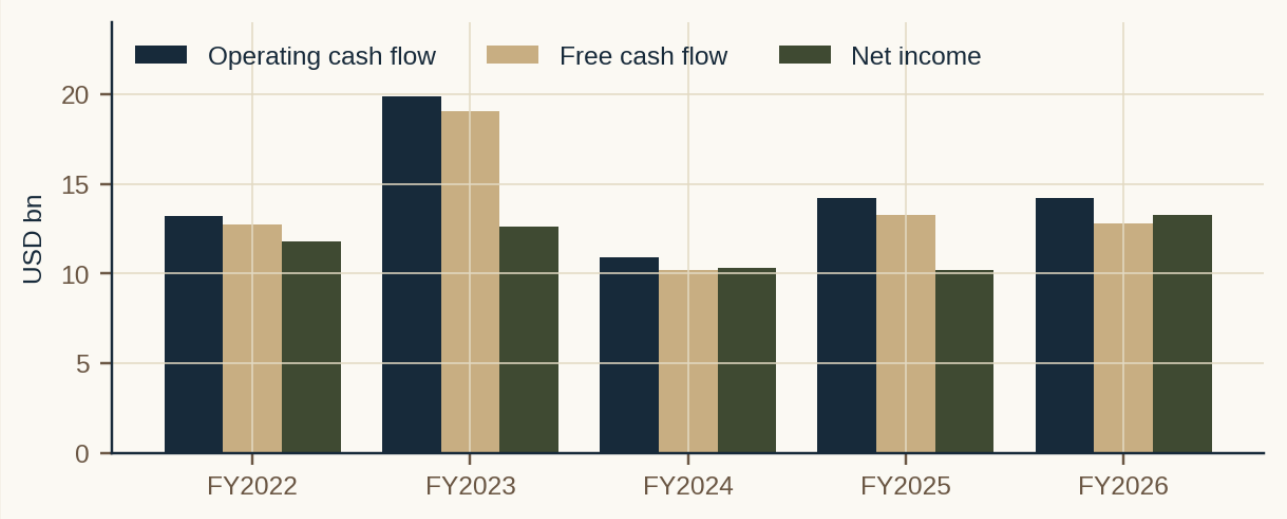
C3. Cash Flow Statement

CASH FLOW SUMMARY, USD MILLION

Item	FY2022	FY2023	FY2024	FY2025	FY2026
Operating cash flow	13,226	19,886	10,880	14,193	14,177
Capital expenditure	(477)	(849)	(670)	(905)	(1,410)
Free cash flow	12,749	19,037	10,210	13,288	12,767
Cash acquisitions	(373)	(301)	(25,994)	(291)	(516)
Dividends paid	(6,224)	(6,302)	(6,384)	(6,437)	(6,553)
Share repurchases	(8,381)	(4,890)	(6,779)	(7,222)	(7,979)
Debt issued	1,655	0	32,296	19,292	13,664
Debt repaid	(3,550)	(1,102)	(12,966)	(22,104)	(12,251)
Stock-based compensation	1,886	2,353	3,074	3,641	3,830

Source: StockAnalysis.com cash flow statement. Free cash flow is operating cash flow less capital expenditure, calculated by the provider. Brackets denote outflows.

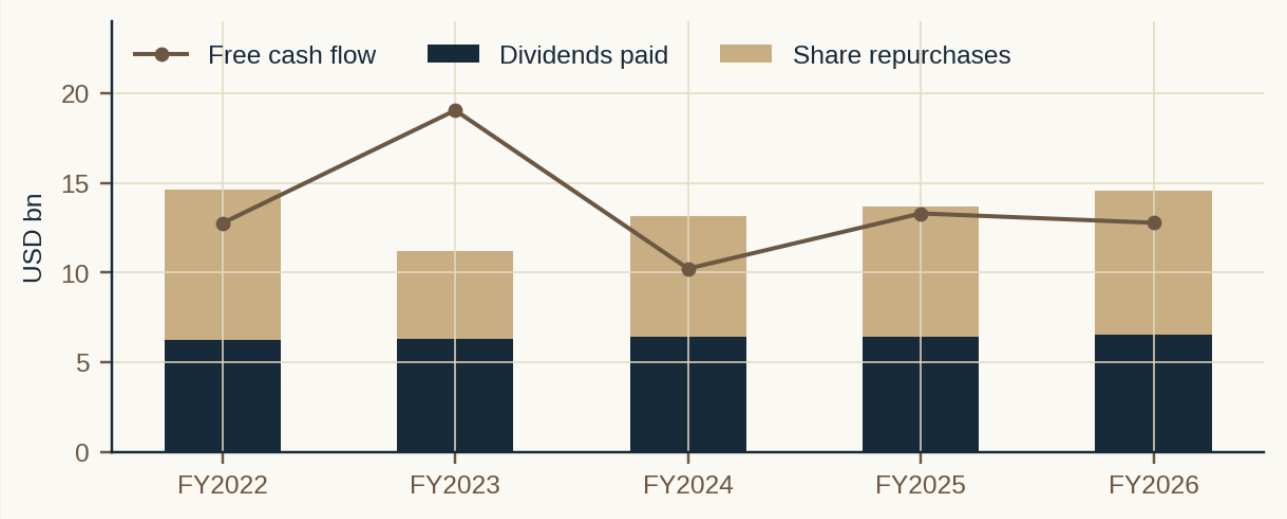
Operating cash flow, free cash flow and net income



Source: StockAnalysis.com. Units: USD bn. Period: fiscal 2022 to fiscal 2026.

Earnings are supported by cash: free cash flow was 96% of net income in fiscal 2026 and has averaged about 117% over five years, helped by deferred revenue growth. But in fiscal 2026 net income exceeded free cash flow by USD 0.5bn because net income included USD 1.4bn of non-cash investment gains while working capital absorbed cash (inventory up USD 2.5bn and receivables up USD 1.3bn). Capital expenditure rose to 2.2% of revenue, the highest in the period, reflecting AI infrastructure and testing capacity. The fiscal 2023 free cash flow of USD 19.0bn was the high point and reflected collections after a supply-driven backlog; it should not be used as a run-rate.

Dividends and buybacks compared with free cash flow



Source: StockAnalysis.com. Units: USD bn. Period: fiscal 2022 to fiscal 2026.

Shareholder distributions of USD 14.5bn in fiscal 2026 exceeded free cash flow by USD 1.8bn, which is sustainable only while debt is rolled and cash balances are drawn.

C4. Forecasting and Projections

Management guides fiscal 2027 revenue to USD 72.2bn to 73.4bn, non-GAAP EPS to USD 5.05 to 5.11 and GAAP EPS to USD 4.00 to 4.06. First-quarter guidance is revenue of USD 18.0bn to 18.2bn. AI infrastructure revenue from hyperscalers is expected to reach USD 7.5bn against about USD 4bn in fiscal 2026, which alone supplies about 5.5 points of the 15% growth (USD 3.5bn on a USD 63.3bn base). The base case uses the midpoint of guidance (USD 72.8bn, plus 15%) and then slower growth as hyperscaler orders normalise. Operating margin rises from 24.3% to 27.5% as acquisition amortisation (USD 1.8bn) declines and software mix improves, partly offset by memory costs.

BASE CASE PROJECTION, USD BN, FISCAL YEARS

Item	FY2027	FY2028	FY2029	FY2030	FY2031
Revenue growth	15.0%	7.0%	5.5%	5.0%	4.5%
Revenue	72.8	77.9	82.2	86.3	90.2
Operating income (GAAP)	18.2	19.9	21.5	23.2	24.8
Operating margin	24.9%	25.6%	26.2%	26.9%	27.5%
Unlevered free cash flow	15.7	17.5	18.9	20.4	21.8

Source: analyst projection; fiscal 2027 revenue anchored on Cisco guidance of 12 August 2026. These are assumptions and estimates, not company forecasts.

Working capital is assumed to absorb 5% of incremental revenue, capital expenditure 2.2% of revenue and depreciation and amortisation 4.0% of revenue, in line with fiscal 2026 (D&A USD 2.6bn, capex USD 1.4bn). Maintenance versus growth capital expenditure is not disclosed. Scenarios: the bear case assumes 12% growth in fiscal 2027 and 3% thereafter with a 24% margin; the bull case assumes 17% then 10%, 8%, 7% and 6% growth with a 30% margin. Sensitivity of value to revenue growth, margin, WACC and terminal growth is shown in the next section.

C5. Discounted Cash Flow (DCF) Model

The model discounts five years of unlevered free cash flow (after tax on operating income at 18%, with share-based compensation treated as an expense because it is inside GAAP operating income) plus a Gordon-growth terminal value. Base assumptions: WACC 8.8% (cost of equity near 9.1% from a beta of about 1.0, a risk-free rate of 4.2% and an equity premium of 5.0%, an assumption; after-tax cost of debt near 3.8% at a 6% debt weight), terminal growth 2.5%. Net debt of USD 13.6bn (debt of USD 29.5bn less cash and investments of USD 15.9bn, leases excluded) and 3.943bn shares.

Base enterprise value is USD 305.1bn, of which USD 72.7bn is the present value of five years of cash flow and USD 232.3bn (76%) the present value of a terminal value of USD 354.2bn. After net debt, equity value is USD 291.5bn, or about USD 74 per share.

SENSITIVITY: WACC (ROWS) AGAINST TERMINAL GROWTH (COLUMNS), VALUE PER SHARE, USD

WACC	1.5%	2.0%	2.5%	3.0%	3.5%
7.8%	77	82	89	97	107
8.3%	71	75	81	87	95
8.8%	65	69	74	79	86
9.3%	61	64	68	73	78
9.8%	57	60	63	67	71

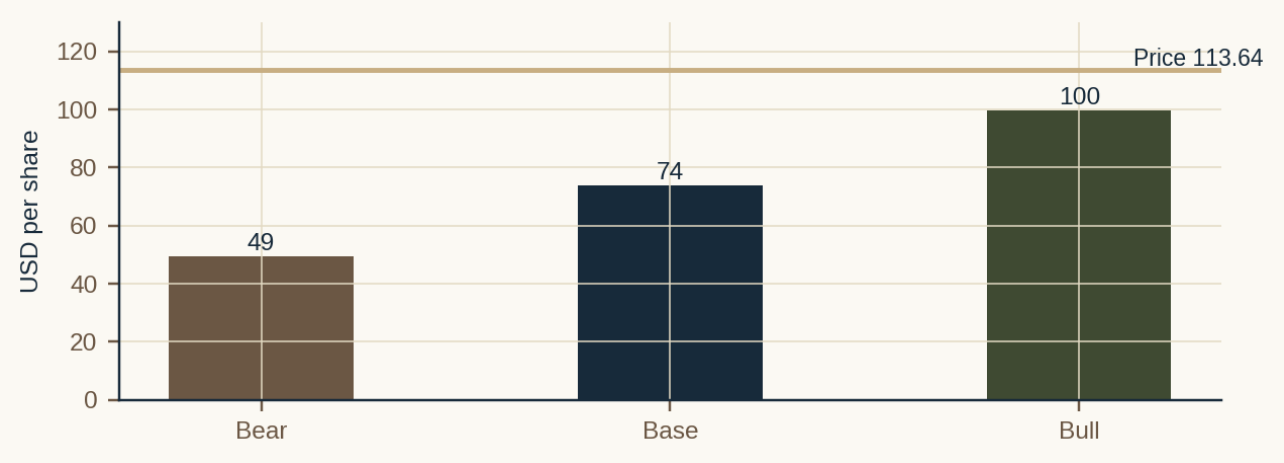
Source: analyst DCF model. Share price at 14 October 2026 was USD 113.64.

SENSITIVITY: TERMINAL OPERATING MARGIN (ROWS) AGAINST REVENUE GROWTH IN FISCAL 2028 (COLUMNS), VALUE PER SHARE, USD

Margin	4.0%	5.5%	7.0%	8.5%	10.0%
24.0%	61	63	66	69	71
25.5%	64	67	70	72	75
27.5%	69	71	74	77	81
29.5%	73	76	79	82	86
31.0%	76	79	83	86	90

Source: analyst DCF model; fiscal 2029 to 2031 growth set at 80%, 75% and 70% of the fiscal 2028 rate. Fiscal 2027 growth held at 15%.

DCF value per share by scenario against the market price



Source: analyst DCF model; price from StockAnalysis.com, 14 October 2026. Units: USD per share.

The scenario range is USD 49 (bear) to USD 100 (bull) with a base of about USD 74, and the full WACC and terminal growth grid spans USD 57 to USD 107. The current price sits above every cell in the grid except the most generous corner, so the market is capitalising either a lower discount rate or a longer period of above-trend growth. A reverse calculation shows that about USD 116 to 122 per share requires roughly 15% growth in fiscal 2027, then 10%, 9%, 8% and 7%, a 30% terminal operating

margin, WACC of 8.0 to 8.2% and terminal growth of 3.5%. The model is not a precise intrinsic value; it uses GAAP operating income, which is below the non-GAAP view and so is conservative by roughly the USD 1.8bn of acquisition amortisation that is non-cash.

C6. Leveraged Buyout (LBO) Model

Not applicable. With an equity value of USD 448bn and enterprise value of USD 463bn, no financial sponsor group could fund a leveraged buyout of Cisco, and the company's leverage policy is investment grade.

D. Investment Thesis

Bull Case

Revenue grows 17% in fiscal 2027 as AI orders (USD 9.3bn in fiscal 2026) convert faster than guided, then 10%, 8%, 7% and 6%. Operating margin reaches 30% through software mix and falling amortisation, WACC falls to 8.5% and the terminal growth is 3%. The DCF value is then about USD 100, and the market multiple could hold if free cash flow reached USD 20bn. Security returns to high single-digit growth and Splunk cross-sell lifts recurring revenue.

Bear Case

Hyperscaler capital expenditure pauses after fiscal 2027, revenue grows 3% a year, memory costs and AI pricing push the operating margin to 24%, and the discount rate rises to 9.5%. The DCF value is about USD 49. If the P/E returns to the fiscal 2022 to 2024 range of 16 to 19 times, the share price on fiscal 2026 EPS of USD 3.33 would be USD 53 to USD 62.

Base Case

Revenue of USD 72.8bn in fiscal 2027 and USD 90bn by fiscal 2031, operating margin of 27.5%, free cash flow of USD 15 to 22bn and continued distributions of about USD 14 to 15bn a year. On these assumptions the DCF value is about USD 74 per share, below the market price, which means the stock needs faster growth or lower discount rates than the base case to be supported.

Catalysts

POTENTIAL CATALYSTS

Event	Timing	Why it matters
First-quarter fiscal 2027 results	Mid November 2026 (expected)	Guided at USD 18.0bn to 18.2bn revenue and non-GAAP EPS of USD 1.32 to 1.34; first test of gross margin.
Dividend payment	21 October 2026	USD 0.42 per share quarterly; confirms capital return.
Hyperscaler order disclosure	Each quarter	Path from USD 4bn to USD 7.5bn of fiscal 2027 AI revenue.
Buyback execution	Ongoing	USD 8.1bn authorisation remaining.
Security growth recovery	Fiscal 2027	Evidence that Splunk integration lifts security growth above 2%.

Source: Cisco earnings release, 12 August 2026. The November date is an analyst expectation, not a confirmed date.

Things to Monitor

MONITORING LIST

Metric or event	Why it matters	Positive	Negative
Product gross margin	Memory and AI pricing pressure	Stable near 64 to 65%	Below 62%
Product orders	Leading indicator of revenue	Growth above 20%	Below 10%
Inventory days	Purchase commitments build risk	Falling below 80 days	Above 100 days
Security revenue growth	Tests Splunk and platform strategy	Above 6%	At or below 2%
Free cash flow	Supports valuation and payouts	Above USD 14bn	Below USD 11bn
Net debt / EBITDA	Balance-sheet flexibility	Below 0.7x	Above 1.2x

E. Final Investment Framework

BUSINESS QUALITY	High. Recurring services and software, deferred revenue of USD 29.8bn, gross margin above 62% in every year examined.
FINANCIAL QUALITY	Good. Free cash flow of USD 12.8bn and 96% conversion, but investment gains and low tax rate flatter GAAP EPS.
COMPETITIVE POSITION	Moderate moat. Strong installed base and channel; weaker growth in security than pure-play rivals.
MANAGEMENT	Stable, long-tenured CEO since 2015; consistent shareholder returns of 114% of free cash flow; very low insider ownership of 0.03%.
INDUSTRY	Mature core with a cyclical AI upswing; consolidating.
VALUATION	Demanding. 34.1 times trailing earnings and 35.1 times free cash flow against a base case DCF of about USD 74 per share.
TECHNICAL AND MARKET STRUCTURE	Neutral. Above the 200-day average, range-bound between USD 106 and USD 124 since results, recent volatility 36%.
PRINCIPAL RISK	Valuation compression if AI-driven growth disappoints.
PRINCIPAL CATALYST	Conversion of hyperscaler orders into revenue with stable gross margin.
KEY VARIABLE	Product gross margin on AI infrastructure revenue.
THESIS INVALIDATION	The investment thesis would become materially weaker if product orders growth falls below 10% for two consecutive quarters, if gross margin falls below 62%, or if free cash flow stays under USD 11bn while the shares continue to trade above 30 times earnings.

F. Data Table

Category	Metric	Current	Prior year	3Y / 5Y trend
Market	Market capitalisation	USD 448.0bn	USD 272.0bn (FY2025)	USD 187.9bn (FY2022)
Market	Enterprise value	USD 463.3bn	USD 286.4bn (FY2025)	USD 178.3bn (FY2022)
Market	Share price	USD 113.64	N/A	52-week change plus 68.5%
Growth	Revenue growth	11.8%	5.3%	5.3% CAGR (4Y)
Profitability	Gross margin	64.5%	64.9%	62.5% (FY2022)
Profitability	Operating margin	24.3% GAAP	22.1%	27.2% (FY2022)
Profitability	Net margin	21.0%	18.0%	22.9% (FY2022)
Profitability	ROE	27.3%	22.1%	29.2% (FY2022)
Profitability	ROIC	21.3%	19.3%	37.8% (FY2022)
Cash flow	Operating cash flow	USD 14.2bn	USD 14.2bn	USD 13.2bn (FY2022)
Cash flow	Free cash flow	USD 12.8bn	USD 13.3bn	USD 12.7bn (FY2022)
Leverage	Net debt / EBITDA	0.8x	0.8x	(0.6x) (FY2022)
Valuation	P/E	34.1x	26.7x (FY2025)	15.9x (FY2022)
Valuation	EV/EBITDA	24.9x	18.6x (FY2025)	11.2x (FY2022)
Valuation	P/FCF	35.1x	20.5x (FY2025)	14.7x (FY2022)
Market	Beta	0.98	N/A	N/A
Market	Volatility	35.9%	N/A	97 trading days
Market	Maximum drawdown	(18.1%)	N/A	97 trading days

Source: StockAnalysis.com; Cisco earnings release, 12 August 2026; analyst calculations. Prior-year valuation figures are at fiscal year end. N/A means not retrieved. Operating margin trend for FY2022 is before restructuring.

G. Sources and Methodology

Data cross-check

Figures were compared across the Cisco earnings release, the Form 10-K and the data provider. Revenue (USD 63.3bn), net income, GAAP EPS (USD 3.33), operating cash flow (USD 14,177m) and cash and investments (USD 15.9bn) agree exactly. The provider's fiscal 2026 operating income of USD 16,079m (25.4% margin) is higher than the GAAP margin of 24.3% in the earnings release; the USD 0.7bn difference corresponds to the USD 693m of impairments and restructuring, so the provider series is shown before those charges and GAAP is stated separately. The provider's debt of USD 31.2bn includes USD 1.7bn of leases while the release's balance sheet gives USD 29.5bn without them; both are labelled. Where sources differ the company release is preferred as the primary source. Calendar and fiscal years are not mixed: Cisco's fiscal year ends in late July.

Source list

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Calculations

Calculated by the analyst: margins, EBITDA (operating income plus depreciation and amortisation), cash conversion, compound growth rates, returns, volatility (standard deviation of daily returns times the square root of 252), downside volatility, drawdown, beta and correlation versus SPY, working capital days, the DCF model, scenarios and sensitivities. Assumptions in the DCF (WACC, terminal growth, margins, tax, capital expenditure, working capital) are analyst estimates.

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